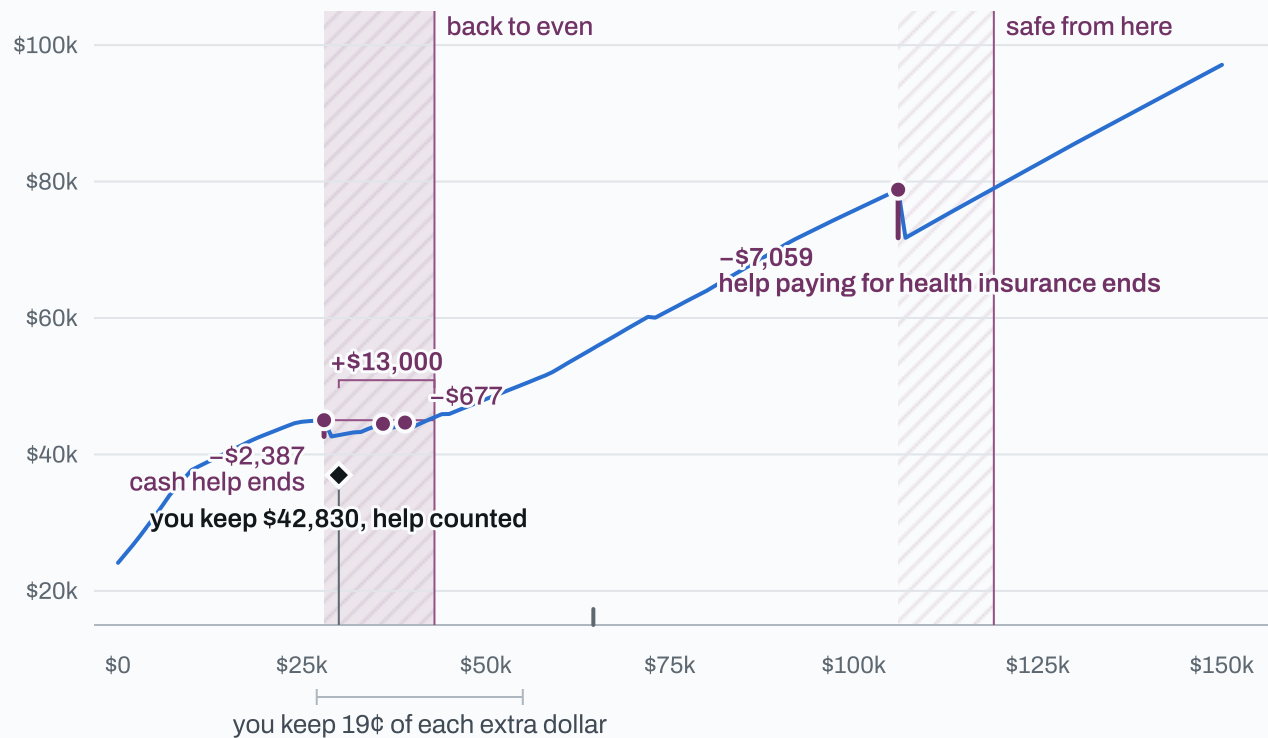


More pay won't leave you better off until you're past \$43,000 — \$13,000 more than you make now.



## How to read this picture

The line is what you keep in a year, as your pay goes up. The pay along the bottom is by the year.

The line is more than your pay because help and tax credits count towards it. \$1,142 of it is free school meals, not cash.

— Money you keep    ▨ Your flat stretch    // Other flat stretches    📌 A drop this year  
 ◆ You now    — The road out of poverty    — Where heating help stops

The picture covers every pay from \$0 to \$150,000. The numbers up the side start at \$15,000, not \$0. These are estimates, on the 2026 rules in California.

## What happens at each step

Each of these is a pay where something stops. People call them benefits cliffs.

Of the next \$10,000 you earn, you'd keep about \$1,200, because food help ends at \$37,000.

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|                  |                                                                                                                                                                                                                                                  |
|------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>\$29,000</b>  | Cash help ends — it's called TANF cash assistance.<br><b>You keep about \$2,400 less.</b>                                                                                                                                                        |
| <b>\$37,000</b>  | Food help would end — it's called SNAP. Some of it carries on to \$38,000: \$413 of food help.<br><b>You'd keep about \$600 less.</b>                                                                                                            |
| <b>\$38,000</b>  | Your own free state health plan would end — it's called Medicaid. Then help paying for health insurance would start — it's called the Premium tax credit.                                                                                        |
| <b>\$40,000</b>  | Your health plan would cost more here.<br><b>You'd keep about \$700 less.</b>                                                                                                                                                                    |
| <b>\$59,000</b>  | A tax break for workers would end — it's called the Earned Income Tax Credit (EITC).                                                                                                                                                             |
| <b>\$73,000</b>  | <div>Waits</div> Your kids' free state health plan would end — it's called Medicaid. It doesn't end that day: your kids keep it until their next yearly check, up to 12 months later. Food help for moms and babies would end — it's called WIC. |
| <b>\$107,000</b> | Help paying for health insurance would end — it's called the Premium tax credit.<br><b>You'd keep about \$7,100 less. This is the biggest drop.</b>                                                                                              |

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It happens again between \$106,000 and \$119,000. The ones past \$106,000 are past what 8 in 10 families like yours earn.

Above \$64,500 a year you can't apply for help with heating bills in California any more. It's called LIHEAP. It's worth \$283 to \$594 a winter if you get it. About 1 in 10 families here who could get it do.

Show the numbers

The points the picture marks. Money kept is in dollars a year.

| Your pay  | You keep        | Drop     | On the picture               |
|-----------|-----------------|----------|------------------------------|
| \$28,000  | <b>\$45,020</b> |          | The top of your flat stretch |
| \$29,000  | <b>\$42,632</b> | −\$2,387 | A drop                       |
| \$30,000  | <b>\$42,830</b> |          | You now                      |
| \$37,000  | <b>\$43,885</b> | −\$600   | A drop                       |
| \$40,000  | <b>\$43,994</b> | −\$677   | A drop                       |
| \$43,000  | <b>\$45,448</b> |          | Back to even                 |
| \$107,000 | <b>\$71,752</b> | −\$7,059 | A drop                       |
| \$119,000 | <b>\$78,999</b> |          | Safe from here               |

## What we assumed

Change any of these and the picture changes. If something here is wrong for you, the numbers are wrong too.

|                         |                                                                                                                                                                                                                 |
|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Rent</b>             | You didn't say, so we counted no rent.                                                                                                                                                                          |
| <b>Child care</b>       | Nobody in the home pays for day care.                                                                                                                                                                           |
| <b>Help you get</b>     | Food help (SNAP), cash help (TANF cash assistance), a free state health plan (Medicaid), and food help for moms and babies (WIC). We counted each one as if you get it.                                         |
| <b>Not counted</b>      | Child care help (CCDF child care subsidy), housing help (Housing voucher), free early learning (Head Start), and help with heating bills (LIHEAP energy assistance). We counted these as if you don't get them. |
| <b>You</b>              | Age 30, a U.S. citizen. Nobody in the home has a disability.                                                                                                                                                    |
| <b>Other money</b>      | Savings: None. No child support, SSDI or unemployment pay.                                                                                                                                                      |
| <b>Hours</b>            | You didn't say, so we assumed full time.                                                                                                                                                                        |
| <b>Health plan help</b> | California Premium Subsidy, up to \$1,538 a year. It helps pay for health insurance. We counted it.                                                                                                             |

## How common is this pay?

About 4 in 10 parents like you in California are paid \$30,000 a year or less. The count could be off by a few thousand dollars either way.

This says how common the pay is. It doesn't say what you'll earn.

From U.S. Census Bureau survey data (ACS 2024, 1-year).  
Grown to 2026 dollars.

## The lowest legal pay

The lowest legal pay in California is \$16.90 an hour, and full-time work at that pay is about \$35,000 a year.

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## **Where these numbers come from**

Source: HotGap, from PolicyEngine with 2026 rules. These are your own numbers. Money kept is what's left after taxes and health-plan premiums.

**These are estimates.** A case worker decides what help you really get.

We use the 2026 rules. We didn't ask about anyone in the home aged 65 or more.

We don't tell you what to do.